

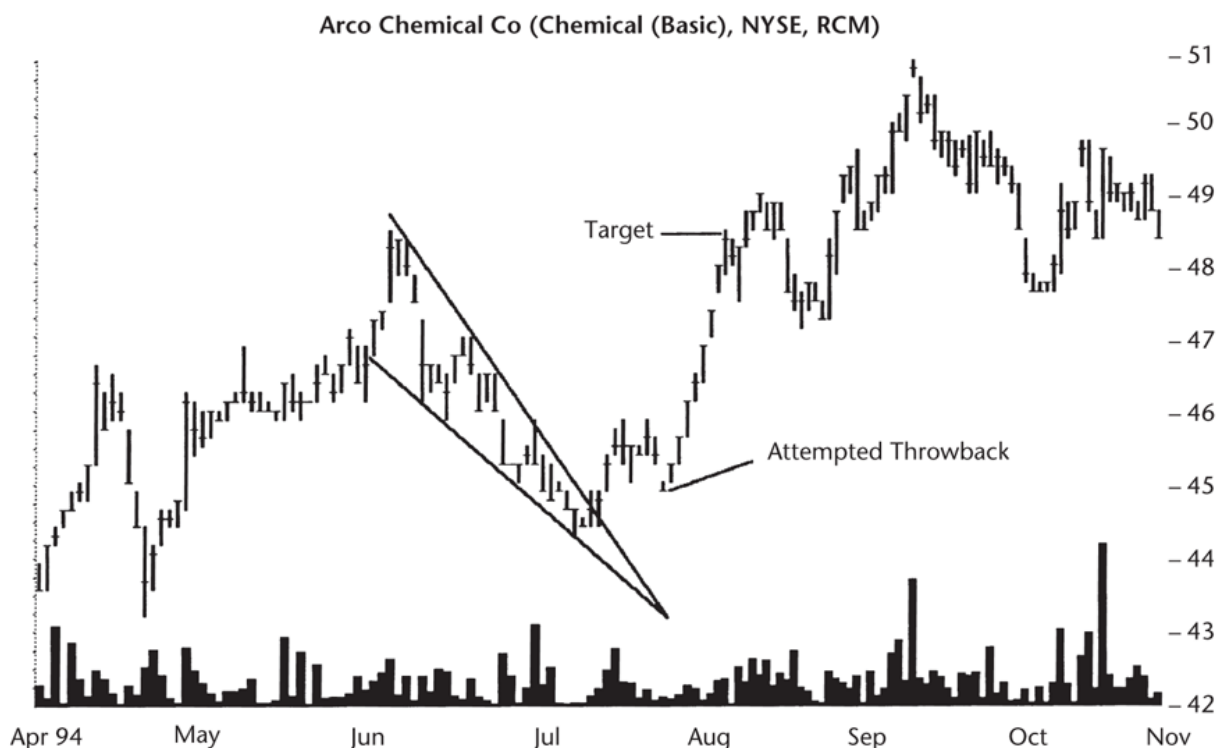


Figure 73.4 The highest price in the wedge becomes the target price to which the stock will climb at a minimum.

Price reaches the target in early August. The old high is a place of resistance, and it takes about 2 weeks before price is able to push decidedly above that level. Price moves higher until hitting 51 before stumbling and entering an extended downtrend.

Buy after breakout. Two out of every three (68%) wedges break out upward in bull markets, but you may stumble upon one that breaks out downward. Wait for price to close outside the trendline boundary to signal the breakout. Only then should you trade the wedge, and with such poor performance you may be wise to skip the trade entirely. You may run into a dip, too. They are painful.

Watch for dip. As I was researching wedges, I noticed an interesting quirk. Sometimes price drops below the bottom trendline, circles around, and then rises. [Figure 73.6](#) shows an example of this behavior. In early January, price breaks out downward, circles around, and then moves higher.

Sometimes the downward breakout takes the form of a premature downward breakout. Price might drop below the trendline for a few days and then reenter the wedge only to zoom out the other side and stage an